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Market Briefs Pro

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Good morning, Pro Briefers!

What does a company need to be a steady dividend payer?

Answer: Consistent profits and a mindset to return those profits to investors.

Companies that pay consistent dividends are typically value stocks as a result.

These are companies that post average growth, but have solid moats, which helps them stick around through market crashes and recessions.

What's a moat? Think of the days of medieval castles - these castles built moats with alligators in them to keep out invaders.

Today, a moat is the competitive advantage a company has over its competitors - how does it keep out of competition and maintain its own market share?

However, consistently returning profits to shareholders means those companies choose to invest less in growth - which means these dividend companies have been overlooked by some investors for years now.

Why? *Growth.* Growth stocks, particularly in the tech sector, have been exceeding the returns of dividend stocks.

But growth stocks often come with one thing: Volatility. It's now common for a tech-growth stock to swing 5% up or down in a single day.

- Years ago, this would have been a headline event - now, it's the norm.

Experts call this *coin-flip volatility*, as no one can tell with certainly which direction a stock will go on any given day.

What's the point? Worries about an AI bubble, or economic downturn, are causing investors to shift where they are investing.

They're not just shifting their money anywhere - they're moving their cash into companies that know how to make money in any economic environment.

If this sounds like a defensive strategy, that's because it is. But there's a huge twist investors are missing and it's where we have identified a Government Shift:

The One Big Beautiful Bill Act has created tax advantages for companies with large physical assets like factories or industrial equipment, making them more attractive investments as tech volatility increases.

The bottom line: Many of these companies that will see the biggest tax benefits just so happen to be dividend companies, as they are large, well-established names.

Investors have the potential to benefit in three ways:

- Potentially lower volatility.
- Lower tax expenses (which could lead to higher dividends) and
- Share price appreciation.

Let's break down why certain dividend stocks may become potential opportunities for investors looking to lower their volatility with value stocks that have a history of surviving periods of intense volatility.

ANALYST TAKE

Tickers we're tracking:

ESG Rollbacks: MO

Legacy Tech: IBM

REITs: FRT

MARKET SHIFT

Appreciating Depreciation

When Congress passed the One Big Beautiful Bill Act (OBBBA) in 2025, they brought back something called 100% Bonus Depreciation - we also discussed this in our January 10th report.

Here's what it means in simple terms:

Companies that own a lot of physical stuff - like buildings, equipment, or infrastructure - can now write-off the full cost of improvements, new construction, and more, in the first year, instead of spreading those deductions over many years.

To be clear - they can’t write off everything, but OBBBA expanded what can be written off.

This shields more of their cash from taxes, leaving more money available to pay out to shareholders as dividends.

The bottom line: OBBBA is effectively subsidizing dividend checks for certain types of companies.

However, not every dividend stock is going to be an opportunity here.

Our research focused on what investors call Dividend Kings and Dividend Aristocrats.

These are companies that have raised their dividend payouts not just during good times, but through market crashes, wars, and even pandemics.

Dividend Kings: Companies that have increased their dividend for 50+ consecutive years.

Dividend Aristocrats: Companies that have increased their dividend for 25+ consecutive years.

And right now, three companies stand out as potential opportunities in this new OBBBA era.

ESG ROLLBACKS

A Dividend King

There are certain products that consumers buy regularly, regardless of what is happening in our economy.

Groceries, alcohol, tobacco, and medicine to name a few.

Alcohol and tobacco companies are a part of the *addiction economy* - those negative connotations have resulted in investors selling them and funds removing them in recent years.

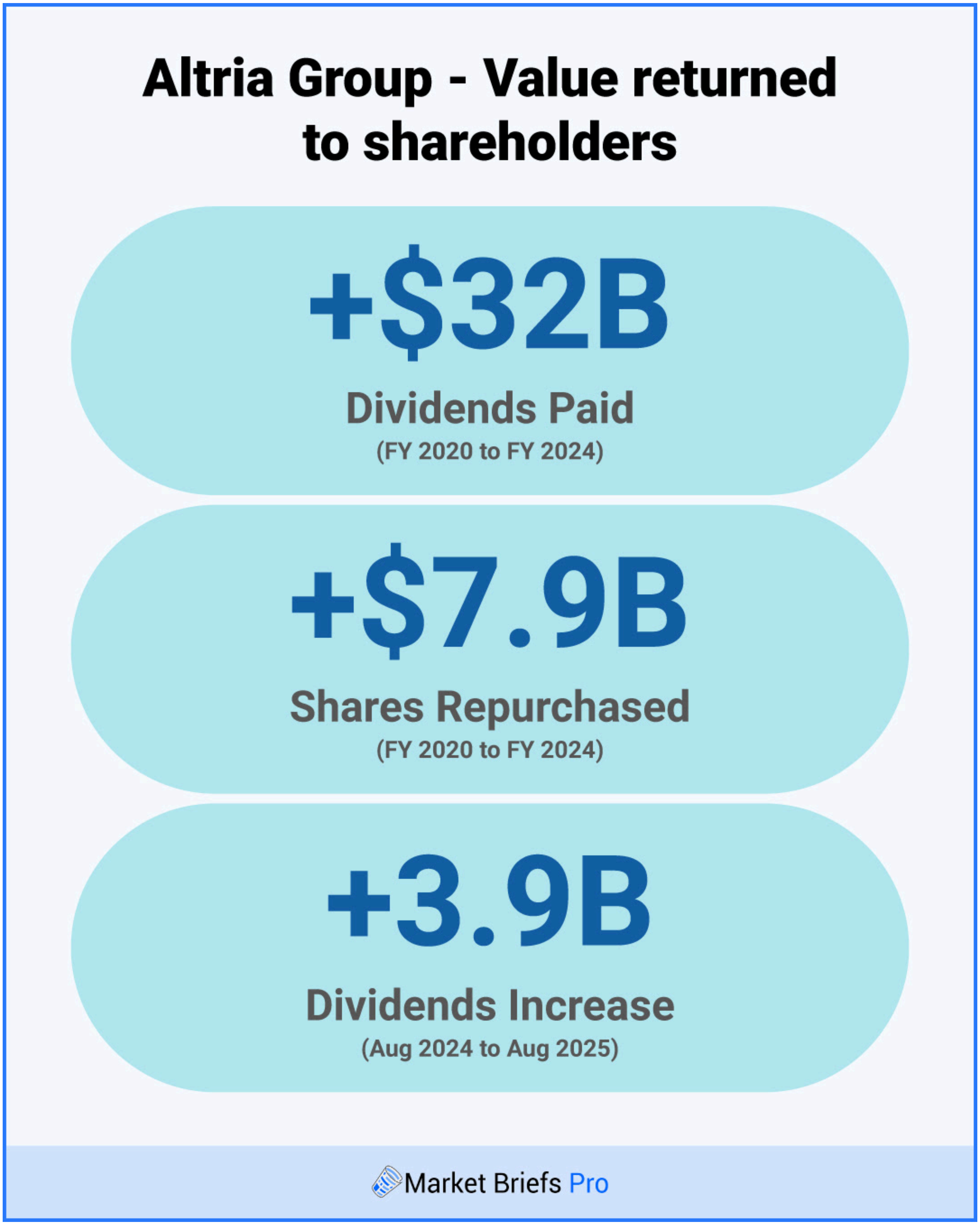
The rollbacks were a part of ESG requirements: Rules companies and funds designed to prevent them from investing in controversial industries.

But recently, many funds and investors are considering them again.

What's happening? Defense companies were once a part of these ESG rollbacks. But since U.S. foreign policy has started to heat up, investors are interested again.

Now, investors are rethinking other businesses and industries as these ESG requirements are rolled back, including tobacco companies.

Institutional money from pension funds, hedge funds, and asset managers, is now flowing back into these companies, namely stocks like Altria Group (MO).



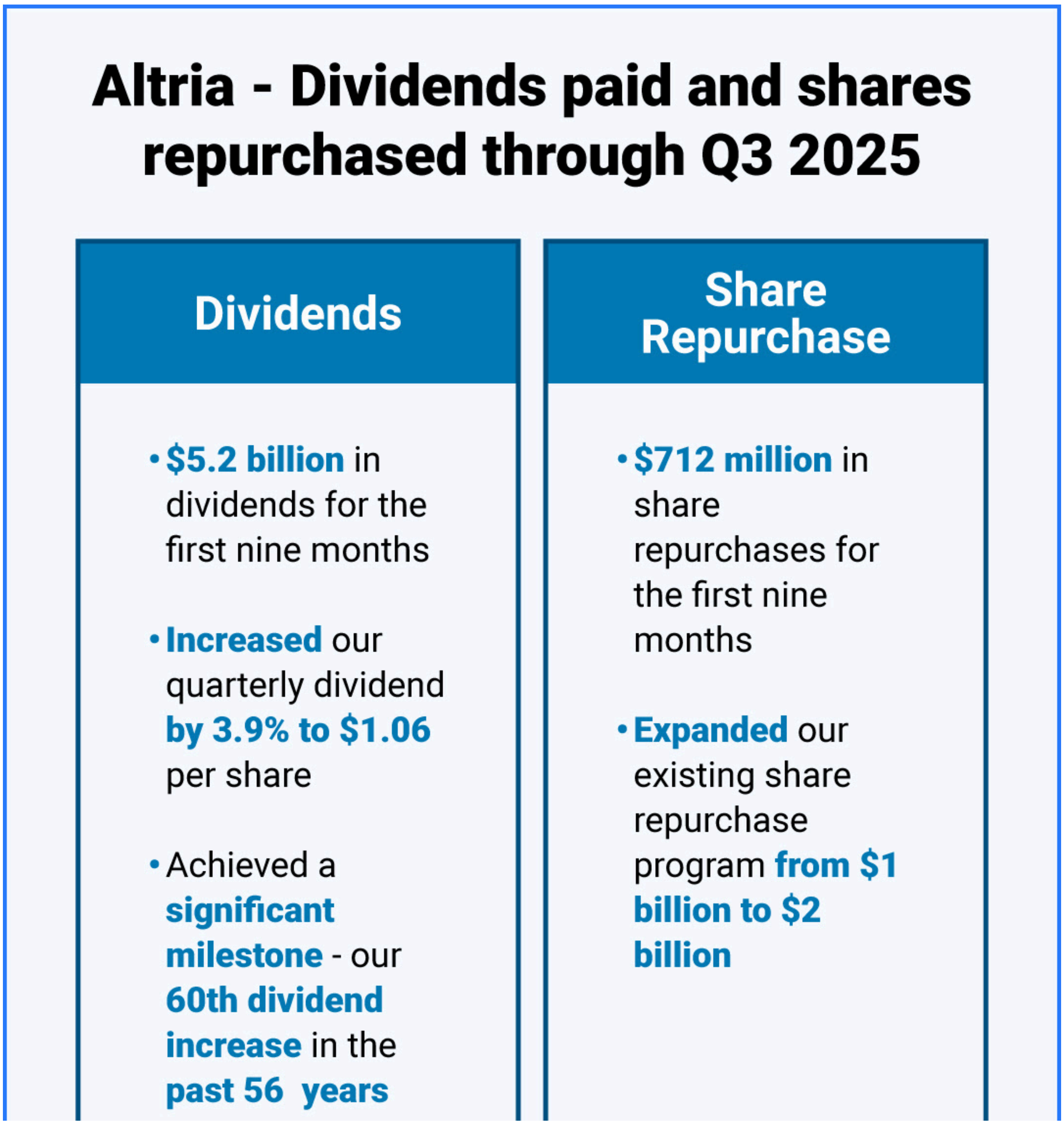
Data via Altria Group Investor Presentation

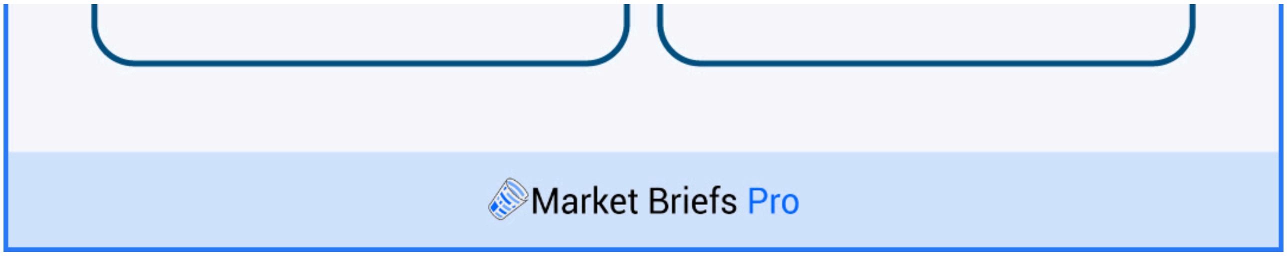
Altria Group is a Dividend King with 60 consecutive years of dividend increases.

The company owns Marlboro cigarettes and other tobacco brands, and currently pays a dividend yield of around 7% - one of the highest among large, stable companies.

Even though fewer Americans are smoking, Altria has kept its profits stable by raising prices.

The company's entire business model revolves around returning money to shareholders through dividends and stock buybacks.



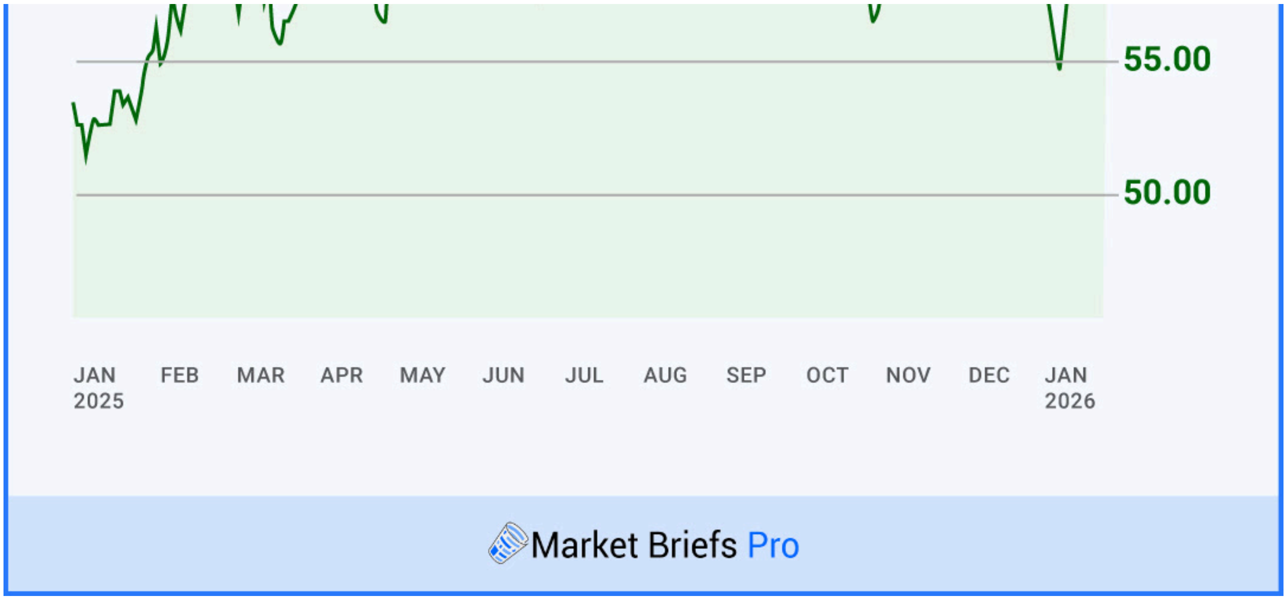


Data via Altria Group Investor Presentation

- Shares are up 21% over the past year, beating the S&P 500's 13.9% return.
- That 21% gain doesn't include the 7% dividend yield.
- The company is likely to see more institutional investment as ESG restrictions continue to ease.

To farm and create cigarettes, Altria utilizes large machines and factories as well, making them a prime beneficiary of the OBBBA’s tax write offs.

And whether we see a downturn or market crash, Altria’s profits should remain stable, as proven by its consistent dividend payments, despite the Great Recession and Dot Com Bubble.



Data via Yahoo! Finance

Note: While Altria presents a strong financial opportunity, investors should consider their own values when investing in tobacco companies. Our job is to identify potential opportunities, not to tell you what to buy.

LEGACY TECH

A Dividend Aristocrat

The reason many tech stocks are so volatile is because their growth is unproven - they lack a steady customer base, name recognition, employees, assets, and more.

They're growing to acquire these things - spending money primarily on their product or service.

In short - they could become the next big thing or disappear overnight.

But there are some tech stocks that have reached a point of stability - providing essential services rather than chasing the next big innovation.

Investors are now shifting their focus into these types of companies, which offer some of that growth potential, but also a certain level of safety due to their large moats.

We actually saw something similar play out in 2022 - when the Nasdaq initially crashed, International Business Machines (IBM) stock actually gained value.

Data via Google Finance

And while it did lose value during that crash as a whole, it still outperformed the Nasdaq during that time.

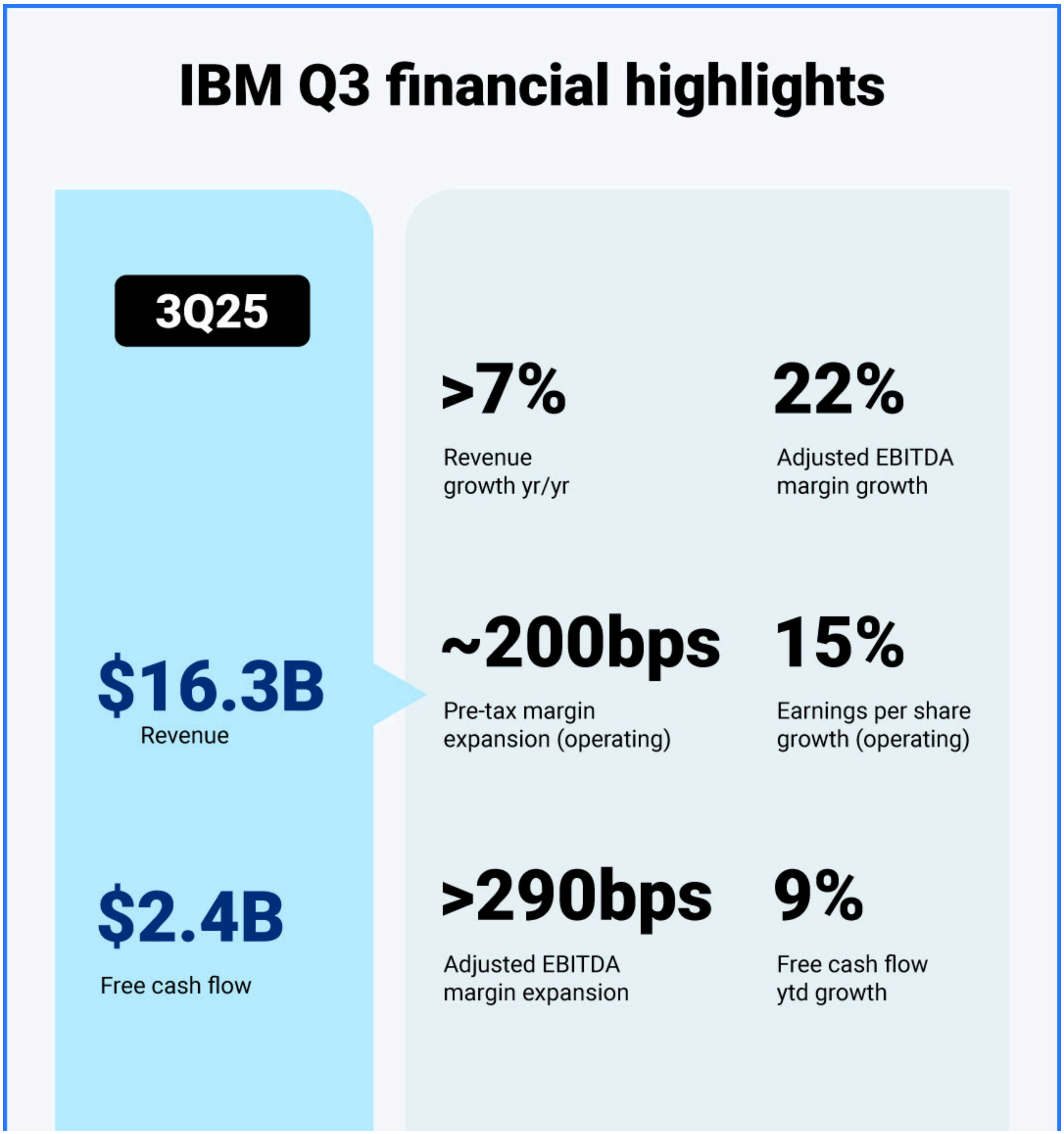
How? IBM was quietly making profits because it runs critical systems that banks and airlines absolutely need to function.

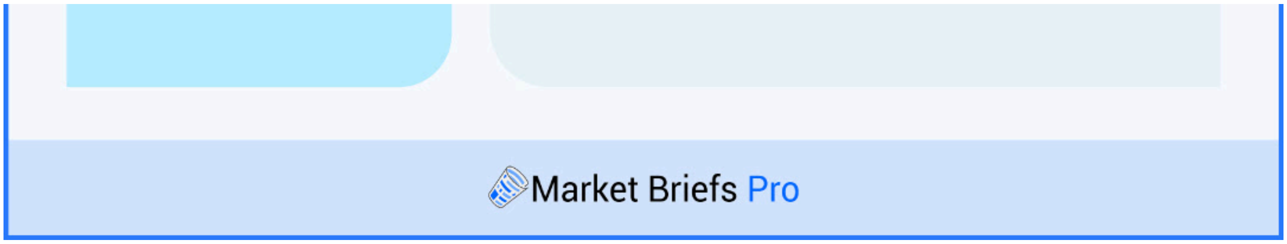
IBM is also a Dividend Aristocrat with 30 years of consecutive dividend increases.

Where does it stand out? It provides businesses with a digital utility, similar to a water or electric company.

While its utility is purely digital in the form of software infrastructure, AI, and more, it’s still essential, meaning other businesses can’t function without its infrastructure.

“We run 45 of the top 50 banks around the world, 9 of the top 10 retailers, and 4 to 5 top 10 airlines of the world.” The company's CFO said in April, 2025.





Data via IBM Investor Presentation

These systems process transactions, manage accounts, and handle critical banking operations.

Banks can't just switch providers easily - IBM's technology is too deeply embedded in their infrastructure.

Here's why IBM stands out now:

- It pays a steady 2.3% dividend that keeps growing.
- Shares are up 31.8% over the past year, beating the S&P 500.
- IBM isn't left behind in AI - it created Watson, one of the first major AI systems, and continues to develop AI tools.
- Even if AI stocks crash, IBM should remain stable because of its essential banking and airline systems.

IBM gets the benefits of AI growth without the extreme risk. If AI continues booming, IBM benefits. If AI stocks crash, IBM's core business may remain stable.

Data via Yahoo! Finance

Plus, IBM operates a large network of data centers - that equipment and facilities has the possibility to be written off, which allows it to keep more of its profits to return to shareholders.

Investors will want to keep an eye on IBM as spending shifts to legacy tech companies in the coming years.

REITS

The Real Estate Angle

The OBBBA expanded the ability to write off several heavy assets, which includes real estate investment trusts or REITs, which invest in heavy assets.

Federal Realty Investment Trust (FRT) is a Dividend King with 58 consecutive years of dividend increases - the longest track record of any REIT.

The company currently pays a 4.45% dividend yield.

What's the opportunity? They own what they call 'Live-Work-Play' properties in wealthy suburbs like San Jose and Miami.

These are shopping centers with restaurants, offices, and retail stores - with apartments built above them.

Data via Yahoo! Finance

By structuring their properties this way, FRT can:

- Classify themselves as a retail REIT (not residential).
- Qualify for the Bills commercial property tax benefits.
- Write off the full cost of building improvements immediately.

When FRT upgrades lighting, flooring, or plumbing, they may be able to deduct the entire cost in year one.

This creates what accountants call a paper loss.

What does that mean? The building improvements increase the property's value and allow FRT to charge higher rent, but on paper, the company shows a loss that lowers its tax liability.

Translation: The building gets better, rent goes up, FRT makes more money, but pays less in taxes.

The idea is that this extra cash then goes to shareholders as dividends.

But with this opportunity, there is a trade-off.

FRT's stock price is actually down over the past year.

The company missed earnings expectations twice in 2025, which hurt investor confidence.

However, the company's core business remains stable, with strong earnings per share.

Remember the shift at play here: Investors are seeking to swap out volatile stocks for ones that have proven they can survive almost anything, while still increasing shareholder value.

Investors interested in FRT should be less concerned with its price growth, and more focused on its consistent, tax-advantaged dividend that the One Big Beautiful Bill makes even more attractive.

RISKS

How This Shift Could Change

The biggest risk with dividend investing is something called a yield trap.

This happens when investors hold onto a stock just for the dividend, even as the company's value keeps falling.

Think of it this way: If you buy a stock for $100 that pays a $5 annual dividend (5% yield), you're happy.

But if the stock drops to $50, that $5 dividend is now a 10% yield - which *looks* great.

However, you've also lost $50 in stock value, which more than wipes out any dividend gains.

Each of our highlighted companies faces this risk differently:

- **FRT** is already underperforming. If shares continue declining for several years, the dividend won't make up for the losses.
- **IBM** has a lower yield (2.3%). If the stock stops beating the market, that lower dividend is less attractive.
- **Altria** faces long-term concerns as smoking rates decline, though price increases have offset this so far.

Plus, the elephant in the room - companies can stop paying dividends at any time.

While unlikely, it is possible that these companies could reduce or even stop paying their dividends in the future.

There's another risk investors should consider: Opportunity cost.

Right now, the 10-year Treasury bond pays around 4.5% with essentially zero risk, since they're backed by the U.S. government.

If Treasury yields spike to 5% or higher, these dividend stocks could look less attractive as their yield may be lower than Treasury yields.

Lastly, tax laws change - the next administration could repeal many of the current write-offs.

That means expenses for these companies could increase, which may eat into profits and potential dividends over time.

REVIEW

The OBBBA & Dividend Opportunity

Dividend companies are seeing a comeback as volatility in tech stocks pushes some investors to seek stability in companies that have proven they can survive almost anything.

The One Big Beautiful Bill Act has made this opportunity even more enticing by creating tax advantages for companies with heavy physical assets.

Keep in mind: These are not get-rich-quick investments - they're potential opportunities for investors looking to balance portfolio volatility with steady income.

Investors who are interested in reducing volatility with dividends will want to keep these opportunities in mind for the long-term as this shift continues to develop.

- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

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Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.